



Rent to Own – Crib Sheet

Rent-to-own, also known as a purchase option or a lease option, means that the renter (tenant-buyer) rents the home on a long-term basis and can choose to buy the home for a predetermined price at the end of the lease.

Under a rent to own agreement, the buyer and seller agree to the possibility of a sale at some point in the future. Ultimately, the renter/buyer decides if the transaction will take place. In the meantime, the buyer makes rental payments to the seller and a portion of those payments (the option fee) reduce the money needed to buy the house at a later date. If the tenant buyer does not purchase the property, the seller keeps the option fee collected.

Pros

- Fairly safe investment strategy as returns is predictable.
- You have a buyer for a pre-determined price regardless of the future housing market
- No problems with tenants and toilets as there are no property management responsibilities and tenants pay for most repairs and maintenance.
- Invested renter: A potential buyer is more likely to take care of a property (and get along with neighbors) than a renter with no skin in the game. The buyer is already invested in the property and has an interest in maintaining it.
- At the beginning of any rent to own transaction, the buyer pays the seller an option premium, which is often around five percent of the ultimate purchase price (although it can certainly be higher or lower). This payment gives the buyer the right or “option” — but not the obligation — to buy the home at some point in the future. The initial premium payment is non-refundable, but it can be applied to the purchase price
- Rent is guaranteed every month
- Tenants pay above average rent.
- Tenants pay an option fee which acts as an insurance policy to the Investor.
- Philanthropic investment as you are helping people become homeowner who otherwise couldn't.

Cons

- These transactions are complicated, and require expert guidance.
- Investors agree to a conservative rate of appreciation regardless of market conditions making them feel like they lost out.
- Missing appreciation: You typically lock in a sales price when you sign a rent to own agreement, but home prices might rise faster than you expected. You



might do better renting the place and getting a sales agreement in the future (or you might not).

- Falling home prices: Home prices might fall, and if your renter does not buy, you would have been better off simply selling the property.
- Home prices might fall, and you have to forfeit on your tenant buyer or renegotiate at that time
- No certainty: Your renter might not buy, so you have to start all over again and find another buyer or renter (but at least you get to keep the extra money).
- Scams: Rent to own scams are an appealing way to take large sums of money from people who are not in a financially secure position. Because of this, tenant buyers are often leery of your proposition or if you are working as an investor with a Rent to Own Deal you may be involved in a scam and not even know it!